CapSpecialty
A BERKSHIRE HATHAWAY COMPANY

CAPITOL INDEMNITY CORPORATION | PLATTE RIVER INSURANCE COMPANY
Surety & Fidelity Bond Department, PO Box 5900, Madison, WI 53705
CapSpecialty.com

APPLICATION (ALL PURPOSE) FOR SMALL CONTRACTOR BOND*

Date:

Aggregate programs in excess of $450,000 require FYE business financial statements or tax returns and personal financials. If the business statement is more than six months old, a current interim statement may be required.

Business or Individual Applicant:		Phone:	
Full Address: (No., Street, City, State, Zip)		License No.	
Type of Company:	☐ Sole Proprietorship ☐ Partnership ☐ (S) Corporation ☐ C Corporation ☐ LLC Tax ID Number:		
Year Started:	How many years under current ownership?	Primary Type of Work Performed:	
Usual Territory of Operations within your domiciled state and 150 miles from your office:			
Largest contract completed in the last three (3) years - Contract Price	$	Gross Profit	$
Largest contract currently underway - Contract Price:	$	Gross Profit	$
% Complete			
Current Work on Hand	No of Jobs:	Remaining Cost to Complete	$

OWNER(S)/INDEMNITORS (*Use additional sheet if necessary. ALL Owners and spouses/domestic partners must indemnify)*.

1.) Name:					
Address (No/Street/City/State/Zip)					
Social Security Number:		% of Business Ownership:			
Married: ☐ Yes ☐ No	Spouse/Domestic Partner:		Soc. Sec. #		% Ownership

2.) Name:					
Address (No/Street/City/State/Zip)					
Social Security Number:		% of Business Ownership:			
Married: ☐ Yes ☐ No	Spouse/Domestic Partner:		Soc. Sec. #		% Ownership

PLEASE REFER TO THE ATTACHED EXCLUSION LIST BEFORE SUBMITTING A REQUEST.

BOND REQUEST

Bond Type: (check one)	☐ Bid Bond ☐ Performance Bond ☐ Performance & Payment Bond		
	☐ Subcontractor Performance & Payment Bond ☐ Supply Bond ☐ Maintenance Bond		
Bond Form:	☐ Surety Co. ☐ AIA ☐ State *(attach copy)* ☐ Federal ☐ Other *(attach copy)*		
Obligee Name:			
Obligee Full Address:			
Job Description:			
Job Location: (City & State)		Amount Subcontracted	$
Bid Bond % or Dollar Amount:		**Bid Date:**	
Total Amount of Contract Bid:	$	Re-scheduled Bid Date:	
Anticipated Start Date:		Expected Completion Date:	
Liquidated Damages:		Warranty/Maintenance Period:	(*Not to exceed 1 year*)
Does the contract include option extensions: ☐ Yes ☐ No		If "Yes" how many/until when?	
Performance Bond Percentage:		Payment Bond Percentage	
Supply Bond Percentage			
Status of Prior Bids:	Bond No.	☐ Low ☐ Not Low	Bond No.	☐ Low ☐ Not Low

Final Bonds - Contract Award:

Total Contract Price:	$	Contract Date: (date signed)			
Bid Results:	Low	$	2nd	$	3rd	$
Performance Bond Amt:	$	Payment Bond Amt:	$	Supply Bond Amt:	$

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Have you ever been bonded before? ☐ Yes ☐ No If "Yes", by whom and why are they not providing bonds for you now?	
Do you have any open bonds with another surety currently? ☐ Yes ☐ No If yes, please list with amounts and what % they are complete on a separate piece of paper.	
Are you or any business in which you are involved, currently in litigation or is litigation pending?	☐ Yes ☐ No
Are any current jobs in dispute or have had liens filed against them?	☐ Yes ☐ No
Are you or any business in which you are involved currently delinquent in the payment of taxes?	☐ Yes ☐ No
Have you or any business you were involved with ever filed for bankruptcy?	☐ Yes ☐ No
Has this company or a prior company, any officer, owner or partner caused a loss or expense to a Surety?	☐ Yes ☐ No

Please attach a sheet with an explanation for any "Yes" responses.

****All information furnished on this application will be utilized and relied upon in the issuance of any bonds on or after the date above.***

REQUIREMENTS

The following is applicable to Construction Contract projects and Commercial Contract projects.

COMMERCIAL CONTRACT PROJECTS ARE DEFINED AS SERVICE, SUPPLY, SUPPLY AND INSTALL CONTRACTS

Experience:
The nature of the work to be performed is consistent with the knowledge and experience of the principal's present organization and the usual/ primary work performed by the organization.

Territory:
The contract is located in the state the principal is located in and within 150 miles of their location. All projects must be in the fifty United States and the District of Columbia.

Multi-Year Contracts:
Multi-year contracts will not be considered unless the Obligee agrees to accept an annual bond or provides a bond form that contains annual language.

EXCLUSIONS

The Small Contractor Bond Program excludes the following:

- Projects where time for completion exceeds 12 months
- Projects where the maintenance / warranty period exceeds 12 months
- Subdivision bonds, site bonds and completion bonds whether for residential or commercial projects
- Contracts/projects where the subcontracted portion exceeds 25% of the contract price.
- Projects where the bid spread exceeds 10% and $15,000
- Projects that include delay damages greater than $1,000 per day
- Dual or multiple Obligee bonds
- Demolition projects or bridge painting
- Boat construction of any kind
- Hazardous materials/environmentally sensitive projects of any kind including closure/post closure bonds, reclamation bonds, asbestos abatement, lead paint exposures, soil remediation and underground tank removal
- Projects performed on or in the water including dredging, bulkheads, piers, breakwaters
- Technology projects that include software supply and installation
- Principals currently or previously in claim with Capitol Indemnity/Platte River or another surety
- Projects for private residences (the homeowner/owner of the residence will be the Obligee)
- Projects that include efficiency warranties or guarantees or guarantees of cost savings
- Design / Build contracts
- Indefinite Quantity Contracts

Surety, in its sole discretion, may decline to write any bond it determines unacceptable.

INDEMNITY AGREEMENT - READ CAREFULLY

By signing this Indemnity Agreement ("Agreement") Principal and each of the undersigned (collectively "Indemnitors") affirm that the statements in the foregoing application ("Application") are true and made to induce **Capitol Indemnity Corporation and/or Platte River Insurance Company,** their successors and assigns (hereinafter "Surety") to issue bonds on behalf of Principal or other Indemnitor (collectively "Bonds") The term Bonds includes any bond issued before, on, or after the date of this Agreement and any extension, renewal, modification or substitution of or addition to the Bonds. Indemnitors jointly and severally agree, for themselves, their personal representatives, successors and assigns:

1. To fully reimburse, indemnify and hold harmless Surety against all liability, loss, claims, demands, attorney's fees, costs and expenses of every kind and nature (collectively "Loss"), which Surety incurs or for which it may become liable as a consequence of issuing the Bonds, regardless of whether the Surety has actually received a claim or paid any amount. **2.** To pay the Surety the initial, fully earned premium and all subsequent renewals, extensions or modifications until the Surety is provided with written evidence, satisfactory to the Surety, that its liability on such Bond(s) has been discharged or terminated as a matter of law. **3.** Surety may, at its sole discretion, deny, pay,

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compromise, defend or appeal any claim or suit against the Bonds. An itemized statement of or sworn voucher from the Surety attesting to the Loss shall be prima facia evidence of Loss. **4.** If for any reason the Surety shall be required or at its option and in its sole discretion shall deem it necessary to obtain additional collateral to cover any claim, demand, liability, expense, suit, order, judgment or adjudication under or on any Bonds(s) or for any other reason whatsoever, the Undersigned will immediately upon demand deposit with Surety an amount of money or collateral in an amount sufficient to cover any increase thereof, or for any payment or compromise of any liability, claims, demands, judgment, damages, fees and disbursements or other expenses; and, the Undersigned, in the event of their failure to comply with such demand, hereby authorize and empower any attorney of any court of record of the United States or any of its territories or possessions, to appear for them or any of them in any suit by Surety and to confess judgment against them or any of them for any sums of money so paid or for which the Surety is obligated, together with any and all costs, interest and fees including attorney's fees; such judgment, however, to be satisfied upon the payment of any and all such sums as may be found due from the Undersigned to Surety under the terms of this Agreement. The authority to confess judgment as set forth herein shall not be exhausted by any single use thereof, but may be exercised from time to time and more than one time until all liability of the Undersigned to Surety shall have been paid in full. Demand shall be sufficient, whether or not actually received, if sent by registered or certified mail to the Undersigned at the address or addresses given herein or last known to Surety. **5.** All money and other proceeds of the obligations covered by the Bonds ("Obligation") are received by Principal in trust for the benefit of Surety for the sole purpose of performing the Obligation until the Surety's liability is completely exonerated. **6.** To secure Indemnitors duties and obligations to Surety Indemnitors, upon surety's declaration of principal's default assign to Surety all right and title to and interest in amounts due under the Obligation and under all other bonded and unbonded contracts, all agreements, notes, accounts or accounts receivable in which Indemnitors have any interest, and all subcontracts under Obligation. **7.** Each Indemnitor irrevocably appoints Surety or its designee as his, her or its attorney-in-fact with the right and power, but not the obligation, to exercise all of the rights assigned to Surety under this Agreement and to make, execute and deliver any and all additional contracts, instruments, assignments, documents or papers (including, but not limited to, the endorsement of checks or other instruments payable to Principal or any Indemnitor representing payment of Obligation monies) deemed necessary and proper by Surety in order to give full effect to the intent and meaning of the assignments or rights contained herein. It is expressly agreed that this power-of-attorney is coupled with the interest of the Surety in receiving the indemnification from Indemnitors. Indemnitors hereby ratify all acts by Surety or its designee as attorney-in-fact. **8.** Indemnitors, jointly and severally, do hereby assign, transfer and convey to the Surety all of their right, title, interest and estate in and to all of their property, real, personal or mixed, in which the indemnitors presently have, or may hereafter obtain. Such assignment to be effective as of the date hereof. **9.** Upon submission of the Application and until full satisfactory performance of the Obligation and exoneration of the Bonds, Surety may freely access, examine, copy and obtain Indemnitors' books, records, credit reports and accounts ("Records"). Indemnitors authorize third parties in possession of these records to furnish Surety any information requested in connection with any transaction. **10.** Each Indemnitor agrees he, she or it is bound to every obligation in the Agreement regardless of (a) whether the principal fails to sign any bond; (b) the existence, release, return, exchange or viability of or failure to obtain collateral or security securing Indemnitors' duties and obligations under this Agreement ; (c) the identity of any other Indemnitor; (d) whether or not any other Indemnitor is bound or released; or (e) the failure of any other person or entity to sign this Agreement. **11.** Indemnitors expressly waive notice of any claim or demand against the Bonds or information provided to the Surety. Surety may decline to issue bonds and may cancel, withdraw or procure its release from the Bonds at any time, without incurring liability to the Indemnitors. **12.** As used in the Agreement, the plural and singular shall include each other as circumstances require. If any portion of this Agreement is unenforceable that portion shall be considered deleted with the remainder continuing in full force and effect. **13.** A facsimile, photocopy, electronic or optical reproduction of this Agreement shall be admissible in a court of law with the same forc e and effect as the original. **14.** Indemnitors agree that this Agreement is a continuing obligation of the principal and Indemnitors. Indemnitors may notify the Surety of their intent to withdraw from this Agreement by sending written notice, by certified or registered mail to the Surety at P.O. Box 5900, Madison, WI 53705-0900. Indemnitors agree withdrawal shall be not less than thirty (30) days afte r actual receipt of such notice and only for Bonds executed or authorized by Surety after the effective date. Indemnitors agree they remai n liable to Surety for any and all Bonds executed or authorized by Surety prior to the effective date of such withdrawal. **15.** Surety ma y decline to execute any Bond(s) applied for without incurring liability to the Indemnitors. **16.** This Agreement shall constitute a Financin g Statement and/or a Security Agreement for the benefit of the Surety; all in accordance with the provisions of the laws of every jurisdiction; but the filing or recording of this Agreement shall be solely at the option of Surety and the failure to do so shall not release or impair any of the obligations of the Indemnitors under this Agreement or otherwise arising, nor shall such failure be in any manner in derogation of the rights of Surety under this Agreement or otherwise.

READ CAREFULLY AND SIGN

If a Business Applicant is identified on this application, the employees of the Business Applicant have all, to the best of the Individual Indemnitor's knowledge and belief, while in the service of the Business Applicant always performed their respective duties honestly. There has never come to Individual Indemnitor's notice or knowledge any information, which in the judgment of the Individual Indemnitor indicates that any of the said employees are dishonest. Such knowledge any officer signing for the Business Applicant may now have in respect to his or her own personal acts or conduct, unknown to the Individual Indemnitor, is not imputable to the Individual Indemnitor.

FRAUD STATEMENT:

Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance containing any materially false information or conceals, for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime and subjects that person to criminal and civil penalties.

(Not applicable in AL, AR, CA, CO, DC, FL, KY, KS, LA, ME, MD, NJ, NM, NY, OH, OK, OR, PA, RI, TN, VA, VT, WA, and WV).

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APPLICABLE IN AL, AR, DC, LA, MD, NM, RI, and WV

Any person who knowingly (or willfully)* presents a false or fraudulent claim for payment of a loss or benefit or knowingly (or willfully)* presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.

*Applies in MD only.

APPLICABLE IN CA

For your protection, California law requires the following to appear on this form: Any person who knowingly presents false or fraudulent information to obtain or amend insurance coverage or to make a claim for the payment of a loss is guilty of a crime and may be subject to fines and confinement in state prison.

APPLICABLE IN: CO

It is unlawful to knowingly provide false, incomplete, or misleading facts or information to an insurance company for the purpose of defrauding or attempting to defraud the company. Penalties may include imprisonment, fines, denial of insurance and civil damages. Any insurance company or agent of an insurance company who knowingly provides false, incomplete, or misleading facts or information to a policyholder or claimant for the purpose of defrauding or attempting to defraud the policyholder or claimant with regard to a settlement or award payable from insurance proceeds shall be reported to the Colorado Division of Insurance within the Department of Regulatory Agencies.

APPLICABLE IN: FL AND OK

Any person who knowingly and with intent to injure, defraud, or deceive any insurer files a statement of claim or an application containing any false, incomplete, or misleading information is guilty of a felony (of the third degree)*. *Applies in FL only.

APPLICABLE IN: KS

Any person who, knowingly and with intent to defraud, presents, causes to be presented or prepares with knowledge or belief that it will be presented to or by an insurer, purported insurer, broker or any agent thereof, any written, electronic, electronic impulse, facsimile, magnetic, oral, or telephonic communication or statement as part of, or in support of, an application for the issuance of, or the rating of an insurance policy for personal or commercial insurance, or a claim for payment or other benefit pursuant to an insurance policy for commercial or personal insurance which such person knows to contain materially false information concerning any fact material thereto; or conceals, for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act.

APPLICABLE IN: KY, NY, OH AND PA

Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information or conceals for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime and subjects such person to criminal and civil penalties (not to exceed five thousand dollars and the stated value of the claim for each such violation)*. *Applies in NY only.

APPLICABLE IN: ME, TN, VA AND WA

It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties (may)* include imprisonment, fines and denial of insurance benefits. *Applies in ME only.

APPLICABLE IN: NJ

Any person who includes any false or misleading information on an application for an insurance policy is subject to criminal and civil penalties.

APPLICABLE IN: OR

Any person who knowingly and with intent to defraud or solicit another to defraud the insurer by submitting an application containing a false statement as to any material fact may be violating state law.

APPLICABLE IN: VT

Any person who knowingly presents a false statement in an application for insurance may be guilty of a criminal offense and subject to penalties under state law.

[Signature pages follow]

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*****Signature Instructions*****

- ALL OWNERS MUST sign as Individual Indemnitors. (•Additional entity-based signatures may be necessary – see below.)
- Spouses/domestic partners are also required to sign as Individual Indemnitors.
  - ♦ If Applicant is a Corporation, an authorized Officer signs in the capacity of an officer in addition to as an individual.
  - ♦ If Applicant is an LLC, an authorized manager or member signs in the capacity of a manager/member in addition to as an
  - ♦ If Applicant is a Partnership, all Partners sign in the capacity of a partner in addition to as an individual.
  - ♦ If Applicant is a Non-Profit, an authorized officer signs in the capacity of an officer.
  - ♦ If Applicant is an Individual or Sole Proprietorship, all individuals sign as an Individual Indemnitor ONLY.

This indemnity agreement may be executed in counterparts, including electronic transmission, each of which will be deemed to be an original copy of this indemnity agreement and all of which, when taken together, will be deemed to constitute one and the same agreement.

CONSUMER CREDIT REPORT CONSENT AND INDIVIDUAL(S) AS INDEMNITOR(S)

By signing below, the undersigned individual indemnitor(s) hereby consent(s) to Surety obtaining his/her Consumer Report as defined under the Fair Credit Reporting Act, which report may include information by a consumer reporting agency bearing on credit worthiness, credit standing, credit capacity, character, general reputation, personal characteristics, or mode of living. This consent allows Surety to obtain a Consumer Report at the time of Application, during review or renewal of a bond or bond account, at the time of any potential or actual claim, or for any other reason as determined by Surety in its sole discretion. Such consent remains in full force and effect until withdrawn in writing to Surety.

Signed and dated this _____ day of _____, _____.

INDIVIDUALS as INDEMNITOR SIGNATURES (All Owners/Spouses/Domestic Partners Must Sign):

Indemnitor's Name (Print):	Indemnitor's Signature:	SSN:
Spouse/Domestic Partner Name (Print):	Indemnitor's Signature:	SSN:
Indemnitor's Name (Print):	Indemnitor's Signature:	SSN:
Spouse/Domestic Partner Name (Print):	Indemnitor's Signature:	SSN:
Indemnitor's Name (Print):	Indemnitor's Signature:	SSN:
Spouse/Domestic Partner Name (Print):	Indemnitor's Signature:	SSN:
Indemnitor's Name (Print):	Indemnitor's Signature:	SSN:
Spouse/Domestic Partner Name (Print):	Indemnitor's Signature:	SSN:

CORPORATION and OTHER BUSINESS ENTITIES as INDEMNITOR SIGNATURES (In addition to the above):

Name & Title (Print):	Indemnitor's Signature:	Company Name:	FEIN:
Name & Title (Print):	Indemnitor's Signature:	Company Name:	FEIN:
Name & Title (Print):	Indemnitor's Signature:	Company Name:	FEIN:
Name & Title (Print):	Indemnitor's Signature:	Company Name:	FEIN:

NOTE: Attach additional signature pages as needed

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